

Diageo plc (NYSE: DEO / LSE: DGE)

Beverages — Spirits & Wine | Research note dated 2 Oct 2026 | Market data as of 11 Sep 2026

View: HOLD — fairly valued, modest upside skew

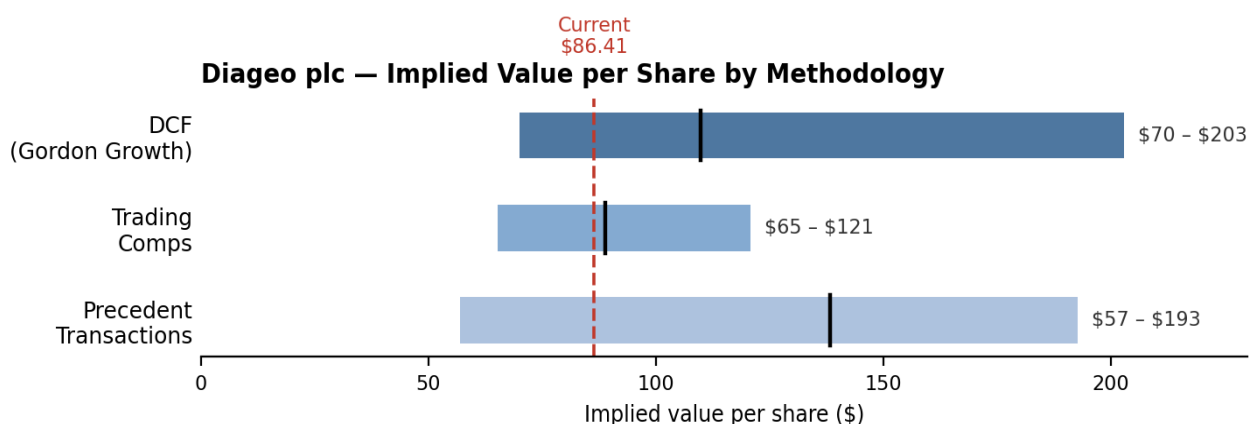
Current price: **\$86.41** | Fair value range: **\$65 – \$121** (primary methods) | Central estimate: **~\$99**

Investment Summary

Diageo shares at \$86.41 look **fairly valued to modestly undervalued** on the two methods most grounded in current market pricing. Trading comparables — the most directly market-based read — imply a median fair value of \$88.94, only 3% above the current price, while the DCF's base case implies \$109.75 (+27%), but that upside is conditional on Diageo executing its “Accelerate” margin-recovery and capex-reduction programme rather than being a near-certainty. Precedent M&A transactions imply a much higher range (\$57–\$193, median \$138) but reflect the control premium a strategic acquirer would pay — relevant context given live consolidation talk in the sector (Pernod Ricard / Brown-Forman, March 2026) — not a standalone public-market fair value. Net: the stock is not obviously mispriced today; the case for owning it is a bet on execution of the cost and margin programme, with sector M&A activity as a call-option kicker.

Valuation

Methodology	Low	Base / Median	High	vs. current (\$86.41)
DCF (Gordon Growth)	\$69.92	\$109.75	\$203.06	+27.0%
Trading Comps (EV/EBITDA)	\$65.14	\$88.94	\$120.86	+2.9%
Precedent Transactions (EV/EBITDA)	\$57.02	\$138.27	\$192.82	+60.0%



WACC build-up: risk-free rate 4.95% (US 10Y Treasury) + beta 0.60 × 5.5% equity risk premium = 8.25% cost of equity; after-tax cost of debt 4.13%; capital weights 68.7% equity / 31.3% debt → **WACC = 6.96%**, consistent with an independent third-party estimate of 7–8% for Diageo.

Terminal g \ WACC	5.96%	6.46%	6.96%	7.46%	7.96%
1.0%	\$115.11	\$100.70	\$88.71	\$78.59	\$69.92
1.5%	\$129.70	\$112.40	\$98.27	\$86.51	\$76.58
2.0% (base)	\$147.98	\$126.72	\$109.75	\$95.89	\$84.36
2.5%	\$171.54	\$144.66	\$123.80	\$107.16	\$93.56
3.0%	\$203.06	\$167.78	\$141.41	\$120.95	\$104.63

Sensitivity confirms the valuation is most exposed to the WACC assumption (rows move less than columns), typical of a low-growth, mature staples business where most of the value sits in the terminal year (terminal value = 80% of enterprise value in the base case).

Key Drivers

Revenue growth. The model assumes organic growth recovers gradually from 1.0% in FY26E to 3.2% by FY30E, as FY25's tariff and volume headwinds fade and the category returns to its historical low-single-digit growth path. This is the least contentious assumption — even the bear case (comps-implied fair value) doesn't require aggressive growth, since peer multiples already price in a similarly muted outlook.

Margin recovery. EBIT margin is assumed to expand from 28.3% (FY25A) to 29.8% by FY30E, driving most of the DCF's premium to the comps-based fair value. This directly reflects management's stated "Accelerate" cost programme; if execution disappoints and margins stay flat at ~28%, the DCF's fair value falls toward the trading-comps range — which is exactly why comps, not DCF, is the more conservative anchor for the base view in this note.

Capex intensity. Capex is assumed to fall from 7.6% of sales (FY25A) to 5.5% by FY30E, again tracking management's own stated capex-reduction target. Terminal value is 80% of enterprise value in the base case, so this assumption — via its effect on the terminal year's free cash flow — has an outsized effect on the headline number relative to its apparent size.

Risks and What Would Change This View

Margin/capex programme disappoints: if EBIT margin holds flat near 28% rather than reaching 29.8%, DCF fair value falls to roughly \$95–100, converging with the trading-comps estimate — i.e. the "upside" case largely disappears and the view becomes a cleaner Hold with no skew.

Rates move against the position: the sensitivity grid shows a 100bp rise in WACC (to ~7.96%) cuts the base-case fair value from \$109.75 to \$84.36 — below the current price — making this the single largest swing factor in the model.

Sector consolidation: live M&A talk (Pernod Ricard / Brown-Forman, March 2026) and the precedent transaction multiples in this note (median 15.3x EV/EBITDA vs. ~11x for trading comps) suggest a real takeout premium exists in the sector. A confirmed approach for Diageo itself, however unlikely near-term, would shift the relevant benchmark from the comps range toward the precedent-transaction range.

Methodology & Data Note

The valuation model (DCF, trading comps, precedent transactions) was built in Excel from Diageo's FY2025 preliminary results and public market data. A companion Python pipeline (`yfinance + pandas`) automates live data collection for Diageo and four listed peers, including currency-correct conversion across USD/EUR-listed names. Building the pipeline surfaced three data-integrity issues worth noting for anyone building on vendor financial data: Yahoo Finance's precomputed enterprise-value field overstated Diageo's EV by roughly 12x (\$886.6bn vs. an independently-computed and verifiable ~\$68bn); an ADR-share-count sanity check initially flagged a false mismatch that turned out to be a flawed assumption on my part, not a data error; and the 10-year Treasury yield was initially miscalculated by a factor of 10 due to an incorrect assumption about a data provider's quoting convention. Each was only caught by cross-checking against an independently verifiable figure — the discipline this note tries to apply throughout. Code: github.com/Suleiman666/diageo-valuation-data.

This is a personal, educational exercise using public information, prepared as part of placement-application preparation. It is not investment research and not investment advice. Figures are sourced from Diageo's FY2025 Preliminary Results (5 Aug 2025), Diageo's FY2025 Financial Report, and third-party market data as of 11 September 2026, as cited in the underlying model; all figures are traceable to the model or a cited source. Prepared 2 October 2026 — share price and market data will have moved since.